

ENGLISH **LIVE**

10

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 10

20th January, 2017



Welcome Agreement on GST Switchover

It is indeed welcome that the Centre and the states have reached agreement on the vexed issue of dual control of administering the goods and services tax (GST), opening up the possibility of introducing the new, paradigm-shifting tax regime on July 1 this year. A more realistic view would be to set the launch date of the new tax three months after the final state and central GST laws are passed and the rules published. Companies need time to prepare their accounting systems in order to draw up an invoice that fully conforms to the requirements of the new tax on launch day.

For GST to succeed, compliance must be easy. Taxpayers must not face undue harassment having to deal with two adminis-

trative bureaucracies for the same tax. States will oversee administration — or undertake scrutiny and audit — of 90% of economic entities with a turnover under ₹1.5 crore, with the remaining 10% under the Centre's purview. For entities with a turnover of over ₹1.5 crore, Centre and the states will share control equally. States

will also be empowered to share control equally under the Integrated GST. And, there should be no inspector raj.

Sensibly, the Centre has yielded to states' demand for taxation powers in littoral waters. This could have been done without these protracted parleys of the GST Council pushing back the time for rules to be finalised. Political rapprochement makes sense as GST creates audit trails that would curb evasion, widen the tax base and boost tax collections. The states and the Centre must swiftly tie up all the loose ends. Even July is not sacrosanct, as a deadline. September 1 would be preferable. A messy beginning would leave a bad taste in the mouth for all concerned. It is best avoided.



THE ECONOMIC TIMES
18th January 2017

←
DISCUSSION ON
20th Jan (today)

→
DISCUSSION ON
23rd Jan (Monday)

Rebooting disinvestment

To gain some perspective on the Centre's decision to divest 25% of its stake in five public sector general insurers, consider these numbers. Last year, the gross premium income of four of these companies — New India Assurance, United India Insurance, Oriental Insurance and National Insurance — increased by over 12%. But their profits after tax fell by more than half from a year earlier, from ₹3,094 crore in 2014-15 to just ₹1,499 crore in 2015-16. A closer scrutiny reveals that high underwriting losses, which increased 55% in the year, were largely responsible for profits falling at these firms even as revenues rose. National Insurance took the sharpest hit, with a 148% rise in underwriting losses. Public shareholding in these firms will lead to questions about such outliers in performance that haven't been heard under the Centre's present 100% ownership structure, at least in the public domain. This, as Finance Minister Arun Jaitley said in his Budget speech last year, would lead to greater transparency and accountability. It will also allow the firms, including General Insurance Corporation of India, to raise more capital from the markets instead of relying on taxpayer money alone. For instance, India's ₹1,500-crore nuclear liability insurance pool created by GIC with other insurers perhaps needs more muscle to create confidence among wary nuclear suppliers.

That it took 11 months for a Budget announcement to secure 'in-principle' Cabinet approval is symptomatic of the lethargy in the disinvestment programme. Prime Minister Narendra Modi had asserted early in his term — during his maiden official visit to the U.S. in 2014 — that government had no business being in business. Yet, it took two more years for the Cabinet to sign off on the first strategic sale (with transfer of ownership and control) under its watch, in the loss-making Bharat Pumps and Compressors. In December, it approved the sale of land with four sick public sector pharma firms with a plan to close two, and 'explore the option' of strategic sale for Hindustan Antibiotics and Bengal Chemicals. This month, stock exchanges were informed about a proposal to sell a 26% stake in heavy equipment-maker BHEL to a strategic investor. The political economy window for such divestment is not unlimited. Even the Atal Bihari Vajpayee regime, which spearheaded the strategic sale of public sector firms engaged in businesses ranging from bread to phosphates, raised 84% of such revenue during its third and fourth years in office. Halfway through its term, it is time this government's disinvestment plans gather steam.

LIVE

THE HINDU
20th January 2017



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Sensibly, the Centre has yielded to states' demand for taxation powers in littoral waters. This could have been done without these protracted parlays of the GST Council pushing back the time for rules to be finalised. Political rapprochement makes sense as GST creates audit trails that would curb evasion, widen the tax base and boost tax collections. The states and the Centre must swiftly tie up all the loose ends. Even July is not sacrosanct, as a deadline. September 1 would be preferable. A messy beginning would leave a bad taste in the mouth for all concerned. It is best avoided.

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Editorial

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18th January 2017



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- It is **indeed** welcome that the Centre and the states have reached agreement on the **vexed** issue of dual control of administering the Goods and Services Tax (GST), opening up the possibility of introducing the new, **paradigm-shifting** tax regime on July 1 this year.
- A more realistic view would be to set the launch date of the new tax three months after the final state and central GST laws are passed and the rules published. Companies need time to prepare their accounting systems in order to draw up an **invoice** that fully conforms to the requirements of the new tax on launch day. For GST to succeed, **compliance** must be easy .
- Taxpayers must not face **undue harassment** having to deal with two administrative **bureaucracies** for the same tax.
- States will **oversee** administration -or undertake **scrutiny** and **audit** -of 90% of economic entities with a turnover under Rs. 1.5 crore, with the remaining 10% under the Centre's **purview**.
- For entities with a turnover of over Rs. 1.5 crore, Centre and the states will share control equally . States will also be **empowered** to share control equally under the Integrated GST. And, there should be no inspector raj.
- Sensibly , the Centre has **yielded** to states' demand for taxation powers in **littoral** waters. This could have been done without these **protracted parleys** of the GST Council pushing back the time for rules to be finalised.
- Political **rapprochement** makes sense as GST creates audit **trails** that would curb **evasion**, widen the tax base and **boost** tax collections.
- The states and the Centre must **swiftly tie up all the loose ends**. Even July is not **sacrosanct**, as a deadline.
- September 1 would be preferable. A **messy** beginning would leave a bad taste in the mouth for all concerned. It is best avoided.



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Indeed

Indeed, Paris Pact is one of the most important multilateral treaties in the world



PARIS2015
UN CLIMATE CHANGE CONFERENCE
COP21·CMP11

I am happy,
indeed proud,
as my son got
selected for
SBI PO



Indeed

Really / certainly, often used
to emphasize something

Indeed

Add some extra information



Vexed

Economists are divided over the **vexed** issue of reducing subsidies in developing countries



World is watching how Donald Trump will deal with the **vexed** issue of reducing fossil fuels

Vexed

Difficult to deal with and causing lot of disagreement and argument



Paradigm Shift



Coal power plant



Solar energy



Diesel vehicles



Electric vehicles

Paradigm Shift

Usual way of doing things changes completely



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Invoice

A Vender



B Purchaser



The company raised **invoice**

Invoice

A detailed list of goods shipped / services rendered with an account of costs involved (asking for payment)



Compliance



WTO rules must be **complied** by the member nations

MNCs should act in **compliance** with the environmental laws of the country



Compliance

The act of obeying an order, rule or request



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Taxpayers must not face *undue harassment* having to deal with two administrative *bureaucracies* for the same tax.



Undue

Undue increase in taxes may lead to tax evasion



Undue increase in prices of petroleum products, will put burden on the common man

Undue

To a level that is more than necessary / acceptable / reasonable



Harassment



The professor **harasses** students too much / we frequently hear about **harassment** by the tax officials

Harassment

Behavior that annoys or upsets some one

Sexual **harassment** of women is the biggest problem we are facing in our country



Harassment

Illegal behavior towards a person that causes mental or emotional suffering



Bureaucracy



Collector (IAS)



Clerks



SP (IPS)



Police

Bureaucracy

System for controlling or managing a country, company and operated by large number of officials



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States will **oversee** administration -or undertake **scrutiny** and **audit** -of 90% of economic entities with a turnover under Rs. 1.5 crore, with the remaining 10% under the Centre's **purview**.



Oversee

May I know the name of the engineers, who are **overseeing** the Polavaram project?



Oversee

To watch or organize a job or an activity to make certain that it is done correctly



Scrutiny

The statistics of the total value of currency notes printed and demonetized notes which were deposited in the banking system will come under close **scrutiny**



Scrutiny

Careful and detailed examination of something in order to get information about it?



Audit



Auditing is going on in our office. Hence we are very busy



Article 148 of the Indian Constitution

Audit

An examination of the accounts of a business / Govts usually by experts from outside



Purview



Banking is not within the **purview** of the State Govts



Interpretation of Constitution of India is not within the **purview** of district court

Purview

The limit of someone's / organization's responsibility / interest / activity



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Empower

Bank loans
to Self Help
Groups in our
country is
empowering
women



Self Help Groups



73rd & 74th
Amendments to
the Constitution
empowered
Panchayati Raj
Institutions in
our country

Empower

The process of giving people / organization more freedom / rights
/ official authority / legal power



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Yield



Yield on G-Secs fell to 6.5%

Amount of profit or income
produced from a business /
investment

Yield



The **yield** of rice is record
ever this year

Total amount of crop / product
that is produced

Yield



Littoral

UNCLOS - 1982

TERRITORIAL WATERS (UPTO 12 NM)



Oceans and Law of the Sea
Division for Ocean Affairs and the Law of the Sea

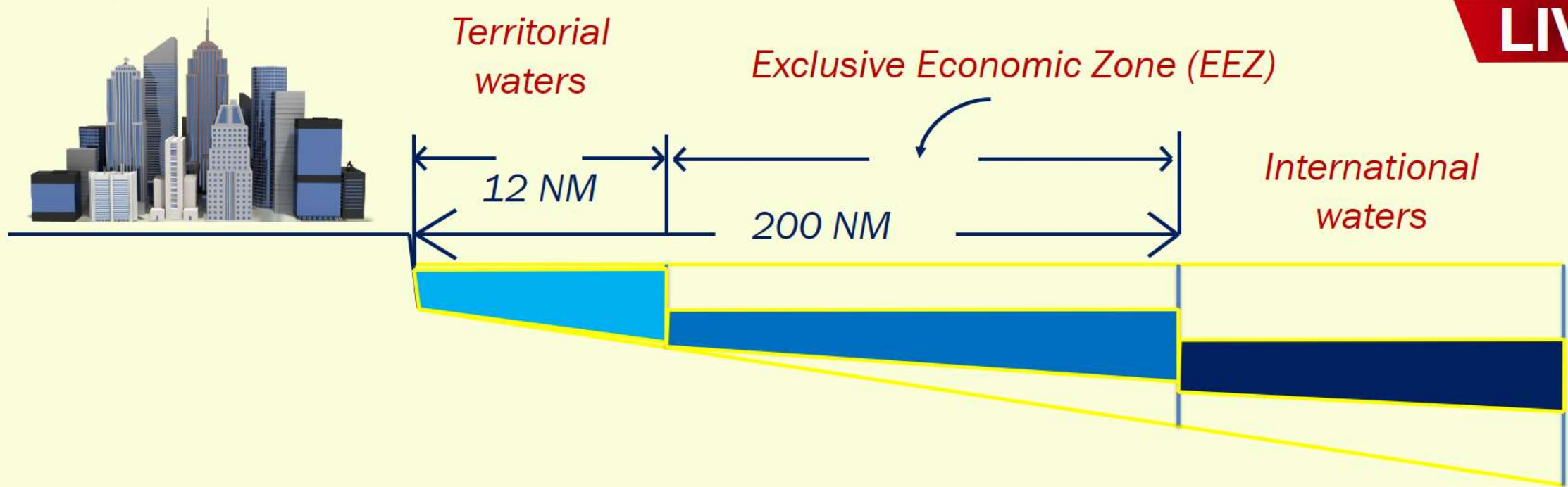
EXCLUSIVE ECONOMIC ZONE (UPTO 200 NM)

- 12 NM from baseline.
- Free to set own laws by the countries.
- Ships will be given "Innocent Passage".
- The state will have sovereignty over these waters.

- Coastal state has sole exploitation rights over all the natural resources.
- Foreign nations have the freedom of Navigation and Overflight.
- Foreign states can lay submarine pipes and cables.

Littoral

Coastal region / part of river, lake, sea close to the land / region between high and low tides



TERRITORIAL WATERS

Sovereignty of the airspace above and the seabed below. Ships will be given “Innocent Passage”.

EXCLUSIVE ECONOMIC ZONE

Exclusive rights to exploit resources including fish, oil and gas within 200 nautical miles. Foreign states can lay submarine pipes and cables.



Protracted

The **protracted** negotiations with Govt. employees, yielded desired result



Protracted

Lasting for a long time / made to last longer than necessary



Parleys



Parleys

- Discussion between two groups of people
- A discussion, esp. between enemies under a truce to decide terms of surrender



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Political *rapprochement* makes sense as GST creates audit *trails* that would curb *evasion*, widen the tax base and *boost* tax collections.



Rapprochement

*There are signs of **rapprochement** among the warring factions in Myanmar*



Aung San Suu Kyi,
State Counsellor, Myanmar

Rapprochement

- An agreement reached by opposing groups or people



Trail



Super cyclone caused **trail** of destruction in Chennai

Trail



TATA

TATA CONSULTANCY SERVICES

Infosys®

Infosys is **trailing** behind in performance

Trail



Evasion

TAX AVOIDANCE

- It is legal
- It is minimizing tax liability by taking unfair advantages of the shortcomings in tax laws
- It is unfair, unethical
- Takes benefit of 100 poles in law
- No imprisonment

TAX EVASION

- It is illegal, criminal
- It is violating the tax laws
- It is fraud
- Deliberate concealment of material facts
- Imprisonment / penalty

Evasion

- An action of escaping from doing the right thing



Boost

Liberalisation
has **boosted**
the Indian
economy in
many ways



Kerala state
Government
took several
measures to
boost its
tourism



Boost

Increase / improve

Boost

Encourage / Help



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The states and the Centre must *swiftly tie up all the loose ends*. Even July is not *sacrosanct*, as a deadline.



Swiftly

He reacted **swiftly**
to correct his
mistakes



Swiftly

With out any delay / in very short time



Tie up the loose ends

I have to stay this weekend to **tie up the loose ends**



Company

Loose ends

Tie up the loose ends

Things that are not yet finished / problems that are not yet solved



Sacrosanct

I am ready to work
overtime on weekdays,
but my weekends are
sacrosanct



Sacrosanct

Too important / too special



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September 1 would be preferable. A *messy* beginning would leave a bad taste in the mouth for all concerned. It is best avoided.



Messy



There are several
messy court cases in
our country

Messy

Dirty / untidy / disorderly



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